

May 12, 2026 04:00 PM GMT

Standard Chartered | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

Standard Chartered (2888.HK)	From	To
Price Target	HK\$195.00	HK\$221.00
Bull Case	HK\$324.20	HK\$321.10
Base Case	HK\$195.40	HK\$204.50
Bear Case	HK\$67.40	HK\$67.20
Updated Components		
EPS		
Investment Thesis		
Bull Base Bear Scenarios		
Risks to Price Target / Rating		

Risk Reward for Standard Chartered (2888.HK) has been updated.

Reason for change

We raise our earnings estimates for 2026/27/28e by 1.9%, 0.7%, and 2.5%, respectively. We increase our 2026 revenue estimate, reflecting stronger-than-expected wealth growth. We also slightly reduce our cost estimates across all three years. At the same time, we raise our credit cost assumptions for all three years, driven by geopolitical uncertainty.

As a result, we increase our base case valuation by 4.6%. However, lower medium-term RoE in both the bull and bear cases reduces those valuations by 1.0% and 0.4%, respectively. We also revise the bear:base:bull weighting to 5:75:20, from 10:80:10 previously. The higher bull case weighting reflects upside potential from Standard Chartered's wealth business and its medium-term targets. Consequently, we raise our price target to HK\$221, up 13% from the previous level.

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Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight			
Industry View	In-Line			
Price target	HK\$221.00			
Shr price, close (May 12, 2026)	HK\$194.00			
52-Week Range	HK\$206.00-109.50			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.95	2.27	2.66	3.24
Prior EPS (US\$)**	-	2.23	2.65	3.16

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Risk Reward – Standard Chartered (2888.HK)

Longer-term RoTE and capital returns remain supportive; valuation undemanding

PRICE TARGET HK\$221.00

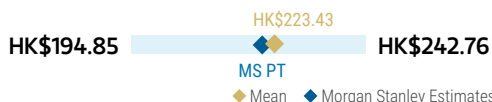
Gordon Growth model, probability-weighted 20% bull, 75% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

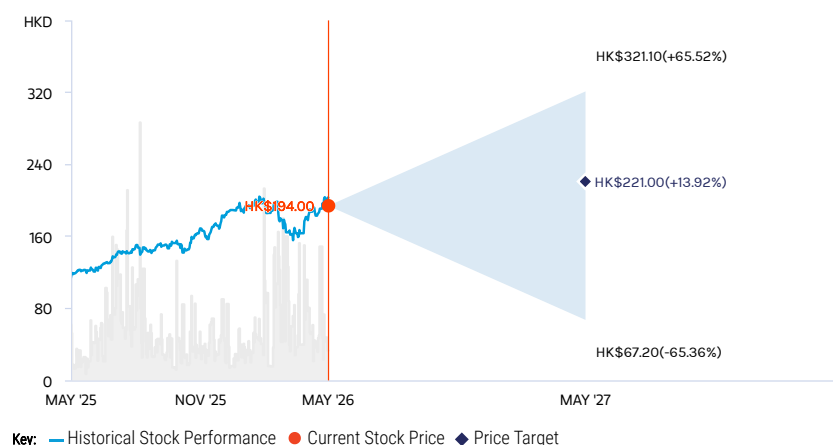
- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.3x bull, 1.42x base, 0.51x bear.

Consensus Price Target Distribution



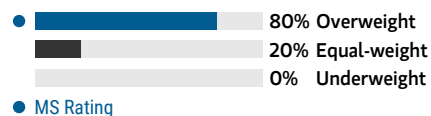
RISK REWARD CHART



OVERWEIGHT THESIS

- **Turn in the rate cycle set to lower NIM over the next five years:** However, hedging plus improved loan and fee growth (especially wealth fees) should help Standard Chartered more than mitigate the impact in the medium term.
- **RoTE set to improve and move ahead of cost of capital:** We forecast RoTE of 13.1% in 2026. We see RoTE above 15% from 2028 onward.
- **High cost:income ratio makes bottom line sensitive to small changes in income and credit costs:** This will make continued non-NII generation key, especially as NIM is under pressure from lower rates.
- **High payouts to shareholders:** Share buybacks and dividends of US\$9.3bn forecast for 2026-27.
- **Valuation is undemanding.**

Consensus Rating Distribution



Risk Reward Themes

Self-help: *Positive*
View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$321.10

16.2x bull case 2026e EPS

Falling oil price leads to more resilient Asian GDP growth: The key Asian economies to which STAN is exposed fare better than expected, allowing stronger system loan growth. Impairments fall faster than expected.

BASE CASE

HK\$204.50

11.6x base case 2026e EPS

Returns exceed 14% in 2027: Top line grows, with modest NIM pressure. Cost control is good. Credit quality remains sound.

BEAR CASE

HK\$67.20

6x bear case 2026e EPS

Macro disappointment, increased geopolitical risk: Asian economic growth struggles to recover rapidly, driving up credit costs. Revenue growth headwinds increase as rates fall. Geopolitical tensions increase required cost of capital.

Risk Reward – Standard Chartered (2888.HK)

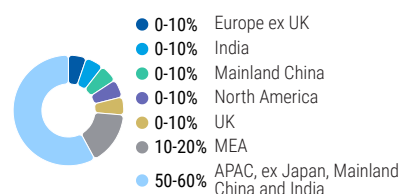
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Loan growth (%)	2.0	3.8	4.4	4.4
NIM (%)	2.03	1.98	1.85	1.85
Core PPOP growth (%)	(9.2)	34.6	(0.7)	14.5
Credit Costs (%)	0.23	0.28	0.31	0.30

INVESTMENT DRIVERS

- UK and global regulatory developments.
- Macroeconomic indicators, particularly in Asia.
- Short-term interest rates.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

RISKS TO DOWNSIDE

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver cost targets

OWNERSHIP POSITIONING

Inst. Owners, % Active 85.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (US\$, mn) 22,451 23,362 24,223
23,316

Net income (US\$, mn) 5,455 5,672 6,225
5,859

EPS (US\$) 2.28 2.66 2.92
2.70

DPS (US\$) 0.69 0.79 1.52
0.87

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

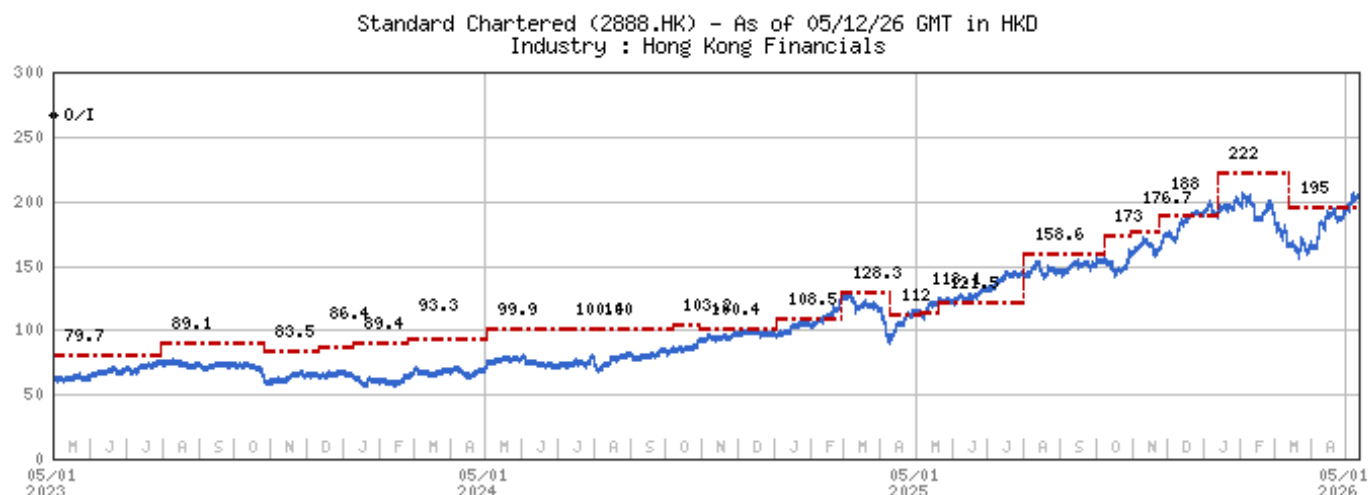
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 5/1/21 : E/C; 10/17/22 : 0/I

Price Target History: 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173; 10/31/25 : 176.7; 11/24/25 : 188; 1/13/26 : 222; 3/14/26 : 195

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ★ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/12/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$46.18
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$138.60
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$194.00
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$423.80

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* Historical prices are not split adjusted.

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